

Zomato experiences high churn among price-sensitive users who frequently switch platforms when discounts reduce, resulting in low repeat order frequency and weakened unit economics.

How Can Zomato Improve User Retention?



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Zomato

Zomato is a consumer internet platform that operates at the intersection of food discovery, on-demand delivery, and dining experiences. It connects **customers**, **restaurant partners**, and **delivery partners** through a unified digital ecosystem.

For customers, Zomato enables end-to-end food experiences - discovering restaurants, evaluating options through reviews and photos, ordering food and nutrition products, booking dining reservations, and making in-app payments.

Zomato has emerged as one of the category leaders in India's food delivery and restaurant discovery market, driven by strong brand recall, a large restaurant network, and high user adoption across urban and semi-urban regions.

Product Goal

1. Deliver consistently reliable food experiences so users can order with confidence.
2. Make quality food accessible and affordable across a wide range of users.
3. Reduce friction across the food journey — discovery, ordering, dining, and payment.
4. Build trust and habit by ensuring repeat orders feel valuable, not transactional.
5. Support long-term user retention by aligning affordability with experience quality.

Problems It Solves

1. Eliminates the effort of finding and ordering food by enabling fast, reliable doorstep delivery.
2. Reduces decision fatigue in choosing restaurants through discovery, reviews, and ratings.
3. Simplifies dining-out experiences with seamless reservations and digital payments.
4. Makes nutrition and wellness products easily accessible through trusted delivery.
5. Addresses restaurant supply constraints by providing consistent access to quality raw materials.

User Segments

Zomato serves both consumer and business users across its platform ecosystem.

B2C Users (Consumers)

1. **Food Delivery Users:** Users who order food from nearby restaurants for home or workplace delivery.
2. **Dining-Out Users:** Users who discover restaurants, book tables, and pay for dine-in experiences.
3. **Nutrition & Wellness Buyers:** Users who purchase nutrition and health-related products such as protein supplements and vitamins.

B2B Users (Business Partners)

1. **Restaurant Partners:** Restaurants that use Zomato for discovery, food delivery, and table reservations to acquire customers and increase revenue.
2. **Supply Partners:** Restaurants that procure fresh and high-quality raw materials through Hyperpure by Zomato.

Stage of the Company

1. Founded in 2008 as a B2B restaurant discovery and listing platform.
2. Expanded into B2C food delivery in 2015, transforming into a large-scale consumer marketplace.

3. Became a publicly listed company in July 2021, with greater emphasis on improving retention, reducing discount dependency, focus on long-term profitability and strengthening unit economics.

Revenue Model

1. Zomato primarily generates revenue through **commissions on food delivery orders, restaurant advertising, and subscription services such as Zomato Pro.**
2. The majority of revenue is driven by delivery commissions and sponsored restaurant listings, making order frequency a critical business lever.
3. At a high level, revenue from the food delivery business is directly influenced by the number of transacting users and their order frequency.

High-Level Revenue Equation = *Monthly Transacting Users × Orders per User × 12*

Competitive Landscape

1. **Primary competitor:** Swiggy
2. **Secondary competitors:** EatSure, Domino's app, Cloud-kitchen first apps
3. **Key competitive lever in category:**
 - a. Discounts & perceived value
 - b. Speed & reliability
 - c. Habit formation
4. **Gap Identified**
 - a. Both Zomato and Swiggy rely heavily on **price-led retention**
 - b. No strong **behavioral lock-in** mechanism exists today for non-subscription users
 - c. Zomato Pro works only for **high-intent users**, not discount-hoppers

Zomato Streak targets this exact gap

What Is Retention?

1. Retention measures how effectively Zomato drives repeat food orders from existing users.
2. A retained user is one who returns to the platform and places multiple orders over a defined period.
3. In this PRD, retention = A user placing **≥2 orders in a 30-day window**, without switching platforms due to discounts.

Retention Buckets

User Type	Orders / Month	Risk
Casual	1	Very high churn
Deal-driven	2–4	Switches often
Habitual	5+	Low churn

Zomato Streak specifically targets “Deal-driven users”

Why Retention Is a Problem

1. Food delivery is a low-loyalty category where switching costs between platforms are minimal.
2. Price sensitivity plays a significant role in platform choice, often outweighing brand affinity or past experience.
3. Users quickly migrate to competitors offering better discounts, leading to volatile engagement and repeat usage.
4. Consequently, retention in this category has become heavily dependent on discounts, which is increasingly unsustainable.

Why Retention Should Be Solved

1. High customer acquisition costs make repeat usage essential for achieving healthy unit economics.
2. Low retention reduces customer lifetime value, making growth increasingly expensive and unsustainable.
3. At Zomato, retention is most clearly reflected through **orders per user**, a metric that directly impacts revenue.

Therefore, improving retention is critical to driving sustainable growth and profitability.

Existing Solutions

1. **Discount Offers:** Short-term price-based incentives used to drive conversions and reduce immediate churn.
2. **Zomato Pro:** A paid subscription offering guaranteed savings for frequent users.
3. **Engagement Nudges:** Push notifications and reminders aimed at reactivating users, without creating strong habit-forming incentives.

Note: Please note Zomato has replaced Zomato pro with Zomato gold, currently.

Why Existing Solutions Are Not Sufficient

1. Discount Offers
 - Discounts have historically been a primary driver of order volume in food delivery.
 - Over time, heavy discounting has conditioned users—especially price-sensitive segments such as students—to expect continuous monetary incentives.
 - Once discounts taper after a few orders, users frequently switch to competing platforms offering better short-term deals.
 - This behavior has normalized discount-led churn, reducing true platform loyalty.
 - Following Zomato's IPO, sustained deep discounting is increasingly constrained, making this approach financially unsustainable.
 - As discount intensity reduces, Zomato risks losing a significant portion of price-sensitive users to competitors.
2. Zomato Pro
 - Zomato Pro offers guaranteed savings through a paid subscription model, including delivery benefits and dining discounts.
 - While attractively priced, adoption remains limited relative to Zomato's overall user base.
 - A large segment of users is either unwilling or not yet accustomed to paying upfront for food delivery subscriptions.
 - As a result, Zomato Pro primarily serves high-intent, frequent users and does not effectively address churn among deal-driven users.
 - Users outside the subscription continue to rely on ad-hoc discounts and frequently switch platforms when incentives decline.
3. Engagement Nudges
 - Zomato uses engagement nudges such as push notifications, reminders, and promotional messages to re-engage inactive users.

- While these nudges help drive short-term attention and app opens, they do not create a strong incentive for repeat ordering.
- Without a tangible or progressive reward, users often ignore or disable notifications over time.
- As a result, engagement nudges alone are insufficient to build long-term habits or meaningfully reduce churn among price-sensitive users.

Pain Point to Be Solved for the Target Group

1. Price-sensitive users do not form a habit of repeat ordering when discounts fluctuate or decline.
2. Their platform choice is driven by short-term savings rather than long-term value.
3. This behavior is most common among students and cost-conscious working professionals.

Proposed Solution: Zomato Streak

Zomato Streak is a habit-forming retention mechanism designed to increase repeat orders among price-sensitive users by combining **goal-based progression**, **guaranteed incentives**, and **delayed rewards**.

The feature introduces a time-bound ordering goal and rewards users progressively as they place repeat orders within the defined period.

How Zomato Streak Works

1. Users are presented with a **clear monthly goal** defined by the number of orders.
2. Each completed order unlocks a **guaranteed incentive**, reinforcing continued engagement.
3. Completing the full streak unlocks a **final reward**, encouraging users to finish the journey.
4. Social proof is reinforced through a **leaderboard**, highlighting streak completions within a region.

Eligibility Criteria

1. Zomato Streak is unlocked for users who place **two or more orders within a week**.
2. This threshold indicates intent to order repeatedly, making the user a suitable candidate for habit formation.

Key Parameters

1. Goal Setting
 - Goals are designed to be aspirational yet achievable.
 - For frequent users, one order per week is a baseline behavior.
 - The streak goal is set at **8 orders per month**, encouraging users to increase frequency to two orders per week.
2. Guaranteed Incentives (Progressive)
 - Users receive **guaranteed savings** on every streak order.
 - Incentives increase progressively to reinforce continued participation.
 - The emphasis is on **predictability and progression**, rather than deep one-time discounts.
 - Discounts are capped per order to protect unit economics and restaurant margins.

(Exact discount percentages and caps can be dynamically optimized based on user cohort and order value.)

3. Final Reward
 - Upon completing the streak, users unlock a **reward voucher**.
 - Reward value is capped and linked to total monthly spend to ensure cost control.

- Example:
 - If a user spends ₹1,500 across streak orders
 - Reward cap = 20% of total spend
 - Maximum reward value = ₹300
 - The reward reinforces completion without encouraging excessive discount dependency.
4. Leaderboard & Social Proof
- A lightweight leaderboard displays the number of streak completions or rewards unlocked within a user's city or locality.
 - This creates social validation and encourages participation without introducing competitive pressure.

Goal of the Feature

1. Increase order frequency among **non-Zomato Pro users** by encouraging repeat purchases within a defined time period.
2. Reduce churn among price-sensitive users by creating habit-forming incentives beyond one-time discounts.

User Journey with UI Screens

Screen 1: The home screen introduces Zomato Streak as a prominent yet non-intrusive entry point, ensuring high visibility among eligible users while preserving the core browsing experience.

Zomato

Search for restaurants or dishes

Zomato Streak

Order more this month & unlock guaranteed rewards

[View my streak →](#)

Order Again



Domino's

25 mins • ₹₹



McDonald's

20 mins • ₹₹

Screen 2: This screen educates eligible users about Zomato Streak by clearly communicating the goal, benefits, and rewards, while minimizing cognitive overload. A persistent CTA ensures users can opt in immediately after understanding the value proposition.

Order more. Unlock more.

Complete your monthly streak to get guaranteed rewards.



Clear monthly goal

Know exactly how many orders you need to unlock rewards



Guaranteed savings

Enjoy assured benefits on every streak order



Reward on completion

Unlock a bonus reward once you finish the streak

Your streak resets every month. Complete it to unlock your reward.

Start my streak

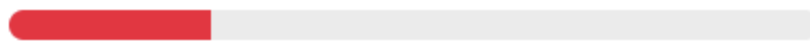
Screen 3: This screen reinforces habit formation by clearly visualizing progress toward the streak goal, highlighting the next reward milestone, and providing a single prominent CTA to place the next order. Social proof via regional streak completions increases motivation without introducing competitive stress.

Zomato Streak

1,250 users in your city completed their streak this month

Your Progress

2 of 8 orders completed



Order 1 ✓ Order 2 ✓ Order 3 Order 4 Order 5+

 Complete 6 more orders to unlock your streak reward

Order next meal

Success Metrics

The success of Zomato Streak will be measured across the user funnel, with a strong focus on retention and revenue impact.

Metric Type	Goal	Metric	Description
North Star Metric		Increase in Orders per Monthly Active User (Orders / MAU)	Indicates improvement in repeat usage and habit formation among target users.
Supporting Metrics	Awareness	Number of clicks on the Zomato Streak entry point per month	
	Acquisition	Number of eligible users who discover the feature after release	
	Activation	Percentage of eligible users who start a streak	
	Activation	Number of users who place the first two streak orders	
	Conversion	Conversion rate from streak visitors to active streak participants	
	Conversion	Percentage of users progressing beyond the second order	
	Retention	Month-over-month reduction in churn among streak users	
	Retention	Percentage of users completing at least 50% of the streak goal (4 orders)	
	Retention	Percentage of users who start a second monthly streak	
	Revenue	Increase in Average Revenue Per User (ARPU) among streak users	
	Revenue	Increase in Customer Lifetime Value (LTV) relative to a control group	
	Cost & Sustainability (Guardrail Metrics)	Average discount cost per retained user	
	Cost & Sustainability (Guardrail Metrics)	Incremental revenue generated per streak user	
	Cost & Sustainability (Guardrail Metrics)	Restaurant opt-out or dissatisfaction rate	
	Diagnostic Metrics (Not North Star)	Number of streak rewards unlocked per month	<i>Used to assess feature adoption and completion, not success in isolation</i>

Timeframe for Evaluation

1. Metrics will be monitored over a **3-month period**, aligned with the duration of Zomato Pro subscriptions.
2. This allows direct comparison of Zomato Streak's effectiveness against existing retention mechanisms.

All metrics will be evaluated using an A/B test against a control group of non-streak users.

Impact for Stakeholders

1. Users
 - Receive **guaranteed, predictable savings** on every order during the streak.
 - Gain a clear sense of progress and motivation through goal-based rewards.
 - Unlock a **completion reward**, increasing perceived value beyond one-time discounts.
2. Zomato
 - Improved **user retention** among non-Zomato Pro, price-sensitive users.
 - Higher **orders per user** driven by habit formation rather than ad-hoc discounts.
 - Increased **ARPU and LTV** through repeat usage and reduced churn.
 - Reduced dependency on deep, unsustainable discounting over time.
3. Restaurant Partners
 - Increase in order volume due to higher repeat ordering.
 - More predictable demand from streak-driven users.
 - Lower average discount per order compared to traditional high-percentage promotions, as incentives are spread across multiple orders and capped.
4. Delivery Partners
 - Increase in delivery demand due to higher order frequency.
 - More consistent earning opportunities driven by repeat user behavior.

Risks & Mitigations

Risk	Risk Description	Mitigation
Restaurant Resistance to Discounts	Some restaurants may perceive streak incentives as additional discount pressure.	1. Cap discounts per order and dynamically adjust incentives based on restaurant participation. 2. Allow restaurants to opt into or out of streak participation. 3. Position streak orders as higher-frequency, lower-discount demand rather than deep promotional orders.
User Drop-off Before Completing the Streak	Users may lose motivation if the streak goal feels too demanding.	1. Use progressive milestones and visible rewards to reinforce early progress. 2. Trigger reminders and encouragement nudges at key drop-off points. 3. Allow streak reset or grace periods to reduce frustration.
Discount Abuse or Gaming	Users may attempt to game the system through low-value orders or cancellations.	1. Enforce minimum order value thresholds. 2. Exclude cancelled or refunded orders from streak progress. 3. Limit streak participation to eligible user cohorts.

zomato
India's #1
food delivery app

Experience fast & easy online ordering
on the Zomato app